

# Investment strategy

For Powell Superannuation Fund

**hi** September 2019

## Fund profile

This document sets out the investment strategy for Pauline Powell Superannuation Fund (the Fund).

|            |                 |         |
|------------|-----------------|---------|
| JTrustee/s | I _ P o w e l l | Pty Ltd |
|------------|-----------------|---------|

| Member name   | Date of Birth | Superannuation Phase |
|---------------|---------------|----------------------|
| - P o w e l l | 0 8 / 1 0 / - | Pension              |

## Investment Strategy

The Fund's trustee(s) have agreed on this strategy after considering the following:

- the Fund's investment objectives
- the members' ages, circumstances and retirement needs
- the members are prepared for a moderate to high level of volatility of returns
- appropriate risk management strategies
- diversification and the benefits of investing across a number of asset classes in a long-term investment strategy
- the Fund's ability to pay benefits as its members require (as a lump sum or pension or a combination of both), plus any other costs that the fund incurs
- the need to balance the members appetite between risk and return

The Trustee has determined to review this investment strategy no less than every year.

## General objectives

The primary objective of the Fund is to provide benefits, in accordance with the sole purpose test, for the Fund members and their dependant at retirement, in the event of death or disablement, or as otherwise allowed under superannuation legislation. The other key objectives are

- generate total returns from a combination of income and capital growth through investment cycles that are detailed in the 'investment objectives' section below.
- address the needs of the members for personal insurance cover depending on their individual circumstances and consider whether that cover may be best owned by the Fund.

## Investment objectives

The Trustee(s), having regard to individual member circumstances including their attitude to risk and return, their experience, their investment time frame and the Fund's financial state, have established the following investment objectives for the Fund:

- achieve investment returns {based on market values after taxes and charges} that exceeds CPI by at least 5 per cent per annum over a rolling 5 year time frame.
- ensure all investments comply with prevailing legislation and the Fund's Trust Deed.
- ensure the Fund has sufficient liquidity to meet expenses and obligations when they are due.
- achieve returns above inflation over the medium to long term.

## Insurance

The Trustee(s) have considered the financial position of the members and their objectives in the event of death or disability.

For the time being, the level of their financial assets are such, that no personal insurance is required to be held in the superannuation fund.

## Asset allocation

The table below details the strategic asset allocation of the Fund that the Trustee(s) will aim to maintain over the long term, along with applicable ranges that the Trustee(s) believe are appropriate in order to provide flexibility of decision making to potentially enhance returns or preserve capital.

The strategic asset allocation is based on consultation with members to determine the most appropriate risk versus return trade off allowing for their individual circumstances, requirements and return assumptions.

| Asset Class                   | Target asset allocation (%) | Asset allocation range |            |
|-------------------------------|-----------------------------|------------------------|------------|
|                               |                             | Minimum(%)             | Maximum(%) |
| Cash                          | 2                           | 0                      | 30         |
| Fixed interest                | 28                          | 0                      | 40         |
| <b>Total defensive assets</b> | <b>30</b>                   | <b>15</b>              | <b>45</b>  |
| Australian shares             | 24                          | 20                     | 80         |
| International shares          | 31                          | 10                     | 50         |
| Property                      | 7                           | 0                      | 20         |
| Alternative assets            | 8                           | 0                      | 20         |
| <b>Total growth assets</b>    | <b>70</b>                   | <b>55</b>              | <b>85</b>  |
| <b>Total</b>                  | <b>100</b>                  |                        |            |

### Important note

Certain circumstances may arise that result in the cash allocation of the SMSF temporarily exceeding the maximum limit and, as a result, the allocation of growth assets temporarily being less than the minimum limit in the table above. For example, this may be due to recent contributions, or proceeds from the sale of assets, not yet being allocated. In these circumstances, the allocation of assets must be realigned with the ranges in the table above as soon as practicable.

# Meeting minutes

## Minutes of meeting of the Trustee(s) for Powell Superannuation Fund (Fund)

Held at 7 Botanic Drive, Bayside, VIC

On 24/9 September 2019

Present:

██████ Powell

Chair:

██████ Powell was appointed Chair of the meeting.

Minutes:

The Chair reported that the minutes of the previous meeting had been signed as true and correct.

Investment strategy:

It was noted that - Powell Pty Ltd, as the trustee(s) of the ██████ Powell Superannuation Fund (Trustees) wish to adopt the investment strategy of the ██████ Powell Superannuation Fund (Investment Strategy), dated 24/9 / September 2019.

In formulating the Investment Strategy, the Trustees have assessed the whole circumstances of the - Powell Superannuation Fund as required under section 52B and 52C of the Superannuation Industry (Supervision) Act 1993 (SIS Act) and regulation 4.09 of the Superannuation Industry (Supervision) Regulations 1994, including but not limited to the:

1. risk involved in the investments and the likely return
2. composition of the fund's investment as a whole, including the level of diversification of investments and any subsequent risk exposure
3. liquidity of the fund's investments having regard to cash flow requirements
4. likely return from the fund's investments having regard to its objectives and its expected cash flow requirements
5. ability of the fund to satisfy its existing and prospective liabilities
6. trustee duties and powers are performed and exercised in the best interest of the members and their dependants
7. appropriateness of the member's personal insurance cover.

The investment strategy is to be documented and reviewed regularly.

Insurance:

Amendments to the cover of members were made as follows:

Nil

Meeting closed:

There being no further business, the meeting closed.

Confirmed as a correct record.

██████ Powell

Chair

24 / 9 / 2019.